



SHORE

Exam Number:

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Year 12
SHORE HSC Business Studies
Trial Examination
2020

General instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black or blue pen
- Draw diagrams using pencil
- Calculators may be used

Total marks – 100

Section I

20 marks

- Attempt Questions 1 - 20
- Allow about 35 minutes for this section

Section II

40 marks

- Attempt Questions 21 - 24
- Allow about 1 hour 15 minutes for this section

Section III

20 marks

- Attempt Question 25
- Allow about 35 minutes for this section

Section IV

20 marks

- Attempt Question 26
- Allow about 35 minutes for this section

Note: Any time you have remaining should be spent revising your answers.

DO NOT REMOVE THIS PAPER FROM THE EXAMINATION ROOM

Section I

Total marks (20)

Attempt Question 1-20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1-20.

Select the alternative A, B, C or D that best answers the question. Fill in the response oval completely.

Sample $2 + 4 =$ (A) 2 (B) 6 (C) 8 (D) 9

A ☐ B ☒ C ☐ D ☐

If you think you have made a mistake, put a cross through the incorrect answer and fill in the new answer.

A ☒ B ☒ C ☐ D ☐

If you change your mind and have crossed out what you consider to be the correct answer, then indicate this by writing the word correct and drawing an arrow as follows:

A ☒ B ☒ C ☐ D ☐

correct
↓

- 1 Which of the following methods of international payment carries the most financial risk for the exporter?
 - (A) Payment in advance
 - (B) Letter of credit
 - (C) Clean payment
 - (D) Bill of exchange

- 2 What is the name given to the expenses associated with meeting the requirements of legal regulations?
 - (A) Fiduciary costs
 - (B) Hedging costs
 - (C) Compliance costs
 - (D) Auditing costs

- 3 Which psychological influence on customer choice is described as the process through which people select, organise and interpret information to create meaning?
 - (A) Attitude
 - (B) Personality
 - (C) Self-image
 - (D) Perception

- 4 What is ASIC responsible for enforcing?
 - (A) The Competition and Consumer Act 2010 (Cth)
 - (B) The Corporations Act 2001 (Cth)
 - (C) The Trade Practices Act 1972 (Cth)
 - (D) The Fair Work Act 2009 (Cth)

- 5 Which pricing method involves the setting of prices according to the interaction between the levels of supply and demand?
- (A) Market based pricing
 - (B) Penetration pricing
 - (C) Cost based pricing
 - (D) Price points
- 6 Which of the following correctly identifies the four processes of human resource management?
- (A) Acquisition, recruitment, maintenance and separation
 - (B) Recruitment, development, maintenance and separation
 - (C) Acquisition, development, maintenance and separation
 - (D) Acquisition, development, training and separation
- 7 Which of the following provisions is included in the National Employment Standards?
- (A) 10 days paid personal leave per year for casual workers
 - (B) 1-6 weeks notice (or pay instead of notice) based on length of employment and age for full time and part-time workers
 - (C) 4 -16 weeks redundancy pay for full time and part- time workers based on length of employment (some exclusions apply)
 - (D) 2 days unpaid carer's leave per permissible occasion for only full- time workers
- 8 Mango airlines have had numerous complaints about its clunky website. The marketing department has worked hard to ensure the steps customers will need to take when booking flights is quicker and more user friendly.

Which of the following P's of the marketing mix is being controlled?

- (A) Product
- (B) Place
- (C) Physical Evidence
- (D) Processes

- 9 A factory manager is comparing weekly production statistics with his budget to see if the production line has improved efficiency. The manager then makes changes to the production line to ensure efficiency is maximised.

Which operations process is being carried out by the manager?

- (A) Monitoring
 - (B) Controlling
 - (C) Sequencing
 - (D) Scheduling
- 10 Which of the following are sources of short-term debt finance for a business?
- (A) Rights issue, factoring and leasing
 - (B) Commercial bills, overdrafts and leasing
 - (C) Overdrafts, share purchase plans and debentures
 - (D) Factoring, overdrafts and commercial bills
- 11 Which of the following are profitability management strategies?
- (A) Factoring, marketing objectives and cost centres
 - (B) Fixed and variable costs, distribution of payments and expense minimisation
 - (C) Cost centres, marketing objectives and expense minimisation
 - (D) Factoring, distribution of payments and leasing
- 12 Which Government body is the New South Wales' workplace health and safety regulator?
- (A) SafeWork NSW
 - (B) Fair Work Commission
 - (C) WorkCover NSW
 - (D) Work Health and Safety Commission

- 13** The operations manager of a business announces that this month the focus will be on performance objectives.

Which of the following operations strategies will be the focus?

- (A) Quality, speed, dependability and flexibility
- (B) Customisation, speed, cost and assurance
- (C) Logistics, e-commerce and global sourcing
- (D) Volume, variety, visibility and quality

- 14** Ticketek sells different classes of tickets to a musical.

Which price strategy have they adopted?

- (A) Market pricing
- (B) Price skimming
- (C) Price points
- (D) Penetration pricing

- 15** Which of the following are transforming resources for an Airline?

- (A) Planes, pilots and customers
- (B) Fuel, information and customers
- (C) Pilots, engineers and planes
- (D) Fuel, food and cabin crew

- 16** A business aims to become more efficient operationally. It plans to achieve this by expanding its output globally which would then lower its total cost per unit of production.

Which global operations strategies is the business implementing?

- (A) Scanning and learning
- (B) Global sourcing
- (C) Logistics
- (D) Economies of scale

- 17 An Australian exporting company has just signed a contract with an overseas buyer for the delivery of goods in 3 months. Payment is required in 3 months and management are forecasting a significant depreciation in the Australian dollar over this time.

Which global financial management strategy should the exporter use to minimise its financial risk?

- (A) Derivatives
 - (B) Insurance
 - (C) Fixed interest rates
 - (D) Bill of exchange
- 18 The HR department at a leading co-educational School in Sydney focuses on managing the needs of its staff, including: their health and safety, industrial relations issues and the compensation and benefits to be given to its staff.

What process of human resource management is being implemented by the School?

- (A) Acquisition
- (B) Development
- (C) Maintenance
- (D) Separation

Questions 19 and 20 continues over the page

Use the following information to answer Questions 19 and 20.

Income Statement of Red Element Ltd for the year ended 30 June 2020.

	\$	\$
Sales		?
Opening Stock	3 000	
Purchases	16 000	
Closing Stock	2 500	
Cost of Goods Sold		?
Gross Profit		157 000
Expenses		42 700
Net Profit		?

19 Calculate the Cost of Goods Sold for 2020.

- (A) \$21 500
- (B) \$16 500
- (C) \$140 500
- (D) \$10 500

20 Assuming the Net Profit Ratio (net profit ÷ sales) for Red Element in 2019 was 50%, which of the following statements is correct?

- (A) The profitability for Red Element Ltd has deteriorated slightly
- (B) The profitability for Red Element Ltd has improved
- (C) The profitability of Red Element Ltd has stayed the same
- (D) The profitability of Red Element Ltd has decreased substantially

Business Studies

40 marks

Exam Number:

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Allow about 1 hour and 15 minutes for this section

Answer the questions in the spaces provided.

(a) Identify TWO transformed resources.

1

(b) Explain how the use of sequencing and scheduling could improve the efficiency of the operations process. 4

4

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Question 21 continues over the page

- (c) With reference to a business you have studied, evaluate the use of technology by this business as an effective operations strategy. 5

Question 22 (9 marks)

Exam Number:

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- a) Outline a debenture as an external source of finance.

2

- b) Explain the interdependence between finance and operations.

3

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Question 22 continues over the page

c) Describe TWO limitations of financial reports.

4

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End of question 22

Question 23 (10 marks)

Exam Number:

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Kulula Airways is a global airline company that is in the process of renegotiating its employment contracts with its employees.

- (a) Identify ONE legal influence on human resources at Kulula Airways. **1**

- (b) Describe TWO types of employment contracts Kulula Airways could implement across its workforce. **4**

Question 23 continues over the page

Question 24 (11 marks)

Exam Number:

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- (a) Distinguish between an industrial and resource market.

2

- (b) Explain how a business would conduct a situational analysis as part of the marketing process. 4

4

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Question 24 continues over the page

- (c) With reference to a business you have studied, explain how consumer laws could influence the marketing of a business' products.

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

End of Question 24

2020 SHORE HIGHER SCHOOL CERTIFICATE TRIAL EXAMINATION

Business Studies

Section III

20 marks

Exam Number:

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Attempt Question 25

Allow about 35 minutes for this section

Answer the questions in the writing books provided. Extra writing books are available.

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply the hypothetical business situation
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response in the form of a business report
-

Question 25 (20 marks)

Professional IT Ltd is a new IT company which has experienced rapid growth over the last 2 years. It manufactures and sells technologically advanced mobile phone devices at premium prices, specifically targeting the business segment. Its recent success has been a result of its major rival, Apple, losing business customers which has enabled Professional IT Ltd's market share in Australia to increase by 5%. The company's directors are considering:

- Importing a number of its transformed inputs from overseas.
- Expanding its sales into New Zealand and the USA.
- How to best manage cash flow during the projected expansion

You have been employed as a consultant to prepare a report for the management of Professional IT Ltd. In your report:

- Describe ONE method of international payment suitable for Professional IT Ltd to decrease its exportation risks.
- Explain how the business could best manage its supply chain
- Evaluate ONE cash flow management strategy Professional IT Ltd could use to manage its cash flow issues.

2020 SHORE HIGHER SCHOOL CERTIFICATE TRIAL EXAMINATION

Business Studies

Section IV

Exam Number:

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20 marks

Attempt Questions 26

Allow about 35 minutes for this section

Answer the question in a SEPARATE writing booklet. Extra writing booklets are available.

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant business case study/studies and contemporary business issues
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response
-

Question 26 (20 marks)

Explain how rewards and workplace dispute resolution strategies can be used to manage the human resource processes of maintenance and separation.



SHORE

2020 SHORE HSC BUSINESS STUDIES ASSESSMENT TASK 4

TRIAL EXAMINATION

MARKING CRITERIA

Mark breakdown

127 students sat the exam

Multiple Choice Q1-20

Marker 16.0 Avg

Short Answers

Q21 Marker DXH 7.76 Avg

Q22 Marker EXT 6.2 Avg

Q23 Marker EXT 6.5 Avg

Q24 Marker EAL 7.5 Avg

Q25 JIM 14.7 Avg

Q26 WPD 12.0 Avg

Exam 69.5 Avg

MULTIPLE CHOICE

Question	Answer
1	C
2	C
3	D
4	B
5	A
6	C
7	C
8	D
9	B
10	D
11	C
12	A
13	A
14	C
15	C
16	D
17	A
18	C
19	B
20	B

SECTION II – Short Answer Questions

QUESTION 21 (Mr Hogan)

a) Identify TWO transformed resources. (1)

Criteria	Marks
Correctly identifies two transformed resources	1

Answer could include: materials, information, customers

b) Explain how the use of sequencing and scheduling could improve the efficiency of the operations process. (4)

Criteria	Marks
Clearly shows the effect of how a business use sequencing and scheduling can improve the efficiency of an operations process.	4
Shows the effect of how a business use sequencing and scheduling can improve the efficiency of an operations process.	3
Sketches in general terms sequencing and scheduling as an operations process.	2
Provide some relevant information regarding sequencing and scheduling	1

Sample Answer: Sequencing refers to the order of activities required within an operational activity takes whilst scheduling refers to the length of time taken for each activity within the operational process. An operations manager understanding of these both these processes can enhance the effectiveness and efficiency of their operational process. Operational managers utilise tools such as Gantt Charts and Critical path analysis to plan the order and process of operational processes to ensure the business improve the quality, speed, customization and cost of production therefore improving the overall efficiency of a businesses' operations.

Sequencing refers to the order at which tasks need to be completed. Scheduling refers to the application of how long and when each task is going to happen. By using gantt charts and critical path analysis, a business can identify the quickest process to get the good - service to the customer at a high quality. A business can use a gantt chart to find when materials arrive to identify when they can start to manufacture the product. Then using a critical path analysis, the business will determine the time taken for each activity to be done and increase production rates. Therefore improving efficiency.

Question 21 continues over the page

c) With reference to a business you have studied, evaluate the use of technology by this business as an effective operations strategy. (5)

Criteria	Marks
With reference to a business, provides clear a judgement based on criteria regarding the effective use of technology as an operational strategy.	5
With reference to a business, provides characteristics and features of technology as an operational strategy, may make some judgement.	3-4
Sketches in general terms how technology is used as an operational strategy. May refer to a business.	2
Provides some relevant information about technology as an operations strategy	1

Sample answer: Technology is the application of improved inputs, transformation processes and outputs to ensure the operations process is smoother, typically this is achieved through automation. Qantas has used both leading edge such as the purchase of the new Dreamliner which has in flight wifi and biofuels. Established technologies such as e commerce and computer aided design to maintain have also been vital helping maintain Qantas' competitive advantage. The use of technology within Qantas has improved the airlines quality and speed of service whilst increasing their dependability with customers who are in turn provided with customisation. The significant benefits offered by the technology employed by Qantas as an operational strategy has been influential in improving Qantas service offering and operational efficiency.

Technology is the use of innovative devices to increase the efficiency and productivity of operations. Technology can be leading-edge or established.

Leading-edge technology is the implementation of innovative devices that aren't readily available. The Qantas Group has implemented inflight wifi on domestic routes, contactless checkin, electronic bag tags and developed a flight pulse app as leading-edge technology. This has been successful for Qantas as the group's fuel efficiency has increased by 20% and costs have been cut by \$8 billion in the past 15 years.

Established technology is the application of technology that is readily available to the market. The Qantas Group has implemented this through the purchase of 8 Dreamliner aircraft and upgrading their inflight entertainment system. This has been successful for Qantas as customer satisfaction has increased by 17% due to their utilisation of established technology.

QUESTION 22 (External Marker)

a) Outline a debenture as an external source of finance. (2)

Criteria	Marks
Sketch in general terms a debenture as an external source of debt finance	2
Recognises a debenture is a long-term source of debt finance	1

Sample Answer: A debenture is an external source of long term debt finance. It is issued by a company at a fixed interest rate for a fixed period of time.

Marker feedback: The marks for this section ranged from 0-2.

This area of debt finance needs to be reviewed. Although most students were able to identify it was long term, many thought it was issued by a bank, or that this type of finance was equity. Few students identified it had a fixed rate of interest for a fixed period of time.

In order to get the whole 2 marks, students needed to identify a debenture as being **long term**, a **fixed interest rates** borrowed over a **fixed time period**. (no half marks were awarded)

a) Outline a debenture as an external source of finance.

2 2

A debenture is an ^{external} long term source of debt finance. Also known as a corporate bond debentures are sold by a business to the public, the business then pays regular fixed interest payments before repaying the entirety of the loan after a fixed period of time.

b) Explain the interdependence between finance and operations

b) Explain the interdependence between finance and operations. (3)

Criteria	Marks
Clearly provides why and how finance and operations are interdependent	3
Sketches in general terms how finance and operations are interdependent	2
Provides some relevant information about finance and/or operations	1

Sample Answer: Interdependence is the mutual reliance of one function on another in order to meet the goals of the business. Finance will provide operations with funds to produce. This will mean products are developed and therefore revenue for finance, from the finance dept. will be responsible for budgeting for the whole business including providing funds to manufacture the products. If costs of production in operations can be minimised then profits can be increased. If operations processes focus on quality then the resulting products can be sold for higher prices and generate higher revenues for finance. Together operations and finance will ensure the business goals are achieved.

Marker feedback: The marks for this question ranged from 1-3.

Overall this question was done quite well. Students were able to explain why finance relied on operations and why operations relied on finance. Students need to take note of the direct term "explain", they needed to add more detail (how and why) not just outline. In this response it was a good idea to start with defining what interdependence was. Few responses only defined what operations and finance were, a clear link needed to be made on how they were reliant on each other.

b) Explain the interdependence between finance and operations. *period of time*

Interdependence refers to the mutual *3* dependence *✓* business functions have on one another. Finance refers to financial funds *and the allocation of these funds* ~~the business has~~. Finance requires operations to create a product which can be sold at a profit, to provide funds to the business. Operations refers to the conversion of inputs into outputs to create a product which can be sold for profit. Operations requires finance to purchase the inputs ~~of~~ such as raw materials *✓* and facilities to allow the operations to engage in the transformation process.

c) Describe TWO limitations of financial reports. (4)

Criteria	Marks
Provides characteristics and features of TWO limitations of financial reports	4
Provides characteristics and features of ONE limitation of a financial report and sketches in general terms ONE limitation of a financial report	3
Sketches in general terms ONE limitation of financial reports OR Identifies TWO limitation of financial reports	2
Identifies a limitation of financial reports	1

Answers could include: Normalized earnings, capitalizing expenses, valuing assets, timing issues, debt repayments and notes of financial statements

Sample Answer:

Normalized earnings are earnings that are adjusted to take into account changes in the economic cycle or to remove one off or unusual items that will affect profitability. When this is done it gives a more accurate depiction of the true earnings of the business. This makes it easier to compare profitability figures for a business from one year to the next, and against other businesses. An example is the removal of a land sale, which would achieve a large capital gain.

Capitalizing expenses refers to an accounting method where a business records an expense as an asset on the balance sheet rather than an expense on the income statement. This does not accurately represent the true financial position of the business as it understates the expenses and overstates the profits as well as the assets of the business. Examples of capitalizing expenses include research and development and development expenditure.

Marker feedback:

The marks for this question ranged from 0-4. Many students were able to correctly identify 2 limitations for financial reports, but fewer were able to describe these limitations correctly.

c) Describe TWO limitations of financial reports.

4 4

Limitations of financial reports refer to the inconsistencies presented within the report. Valuing assets refers to ~~(B)~~ predicting the value of its assets without selling them. This is a limitation as the value of an asset which hasn't been sold is subjective, meaning a ~~(B)~~ could over-value an asset, thus giving a false impression of their financial position. Normalised earnings refer to the adjustment of earnings to account for a one off purchase or sale. This is a limitation as ~~(B)~~'s can decide whether to normalise or not. If they didn't normalise after a one off sale, their financial statement would give a false impression of their profitability.

QUESTION 23 (External marker)

a) Identify ONE legal influence on human resources at Kulula Airways. (1)

Criteria	Marks
Correctly identifies one legal influence on human resources at Kulula Airways	1

Answers could include:

- the employment contract – common law (rights and obligations of employers and employees), minimum employment standards, minimum wage rates, awards, enterprise agreements, other employment contracts
- work health and safety and workers compensation
- antidiscrimination and equal employment opportunity

Marker feedback: Most student were able to correctly identify one of the above legal responses

b) Describe TWO types of employment contracts Kulula Airways could implement across its workforce. (4)

Criteria	Marks
• Provides characteristics and features of TWO types of employment contracts that could be used take place at Kulula Airlines	4
Provides characteristics and features of ONE type of employment contract that could be used at Kulula Airlines and sketches in general terms ONE other type of employment contract	3
Sketches in general terms ONE type of employment contract OR identifies TWO types of employment contracts	2
Identifies an employment contract	1

Answer could include: Common law contract, Award, Enterprise agreement (single, multi, greenfield), Independent contractors, Contracts for casual work and Part- time contracts

Sample Answer: An enterprise agreement is a collective agreement made at a workplace level between an employer and a group of employees about terms and conditions. This would be a beneficial employment contract to be used at Kulula Airlines as it allows the employees to bargain in good faith with the managers of the airlines so a genuine attempt can be made to consider all proposal for the employment contract. Due to the airline having different division such as pilots, cabin crew and baggage handlers etc., contracts would be negotiated speedily for each division.

Awards may be used for less skilled workers such as baggage handlers, as it explains the legally enforceable minimum terms and conditions that apply to a business or industry. More professional roles at the airline such as marketing managers may work on an individual common law contract, they will have more power to negotiate with the airline, because of their increased skill terms such as pay and other benefits.

Marker feedback: The marks for this question ranged from 0-4.

Overall, most students were able to identify two types of employment contracts- enterprise agreements and awards being the most common. Better answers described the employment contract correctly and related it to Kalalau Airlines. Just by saying Kulula Airlines, this does not constitute integrating the stimulus. For example, awards could, be paid to baggage handlers as they have less negotiating power and individual employment contracts can be made for more skilled workers such as pilots shows an integration of the stimulus. (Students should note that an EA does not necessarily need to be negotiated by trade union.

Employment contracts refer to an agreement entered between an employer and employee that sets out the terms and conditions of employment along with pay rates. Two types of employment contracts that Kulula Airways could implement across its workforce include: awards and enterprise agreements. Firstly, awards refer to employment contracts specific to an industry or occupation. Kulula may implement awards for its employees such as the Licensed Engineer award that would cover the airline's licensed engineer employees. These awards are set and updated/revised annually by the Fair Work Commission (FWC). Secondly, Kulula Airways could choose to implement an enterprise bargaining agreement (EBA). An enterprise bargaining agreement refers to an employment contract covering employees at a specific business or across multiple businesses. Kulula would negotiate the terms and conditions of its EBA with its employees e.g. inflight attendants and pilots to reach an mutually agreeable agreement. The agreement then has to be certified by the Fair Work Commission (FWC) prior to being used (100%).

Question 23 continues over the page

- c) Explain how economic factors could influence human resource management at Kulula Airways. (5)

Criteria	Marks
Demonstrates a detailed understanding of how economic factors could influence human resource management at Kulula Airways.	5
Demonstrates an understanding of how economic factors could influence human resource management at Kulula Airways.	4
Demonstrates some understanding of how economic factors could influence human resource management at Kulula Airways.	3
Demonstrates limited understanding of how economic factors could influence human resource management at Kulula Airways.	2
Lists an economic factor	1

Answers could include: The economic cycle, structural change and globalization

Sample Answer: Due to changes in the economic cycle, such as increases in unemployment and the economy heading to a recession, this places great stress on industries such as airlines, as people have less disposable income therefore travel less and businesses spend less money on travel for conferences etc. This would mean staff restructuring would need to occur at the business which impacts the HR dept. HR may need to manage the separation of employees through voluntary and involuntary redundancies. This would mean they need to identify the need for this change and communicate the culture of change to the employees. They could offer employees increased training on how to develop a resume, conduct practice interviews so they can transition to new employment easily. If employees choose not to take a redundancy and stay with Kulula, they may need to be trained in other areas of the business. Before doing this, HR would need to undertake a skills audit, and identify areas that need more employees and develop training programs so employees can be deployed into these other areas.

Marker feedback: The marks for this response ranged from 0-5. Students need to take note that this response is worth 5 marks, so adequate depth needs to be incorporated into answers. Most students were able to identify different economics factors such as a boom and recession. Students need to again ensure they are more specific when making the link to HRM. It is not enough just to say a boom will mean they need to hire more staff. (How can they hire more staff, and be specific to the stimulus). (refer to the sample answer response).

Economic factors refer to the influence of changes in the level of economic activity as reflected through different economic cycles on business activities. Economic cycles specifically refer to the periods of boom and recession that are reflected as peaks and troughs respectively in the business cycle. Economic factors have a significant influence on human resource management at Kulula Airways with the different periods of economic activity impacting Kulula's human resource processes. For example, during a boom or high level of economic activity, Kulula Airways is likely to increase acquisition of employees along with increasing ^{the} development of its employees such as training pilots and cabin crew. Also, maintenance may increase seeing more monetary and non-monetary rewards. Separation would likely decrease during this period. However, during a recession/trough or low level of economic activity the opposite is likely to occur. Acquisition is likely to decrease as the airline seeks to decrease its staff. Development would also decline along with providing less maintenance to employees to reduce business costs. Also, separation would likely increase both voluntarily and ^{non}involuntarily as the airline downsizes. Thus, economic factors have a significant influence on human resource management at Kulula Airways.

QUESTION 24 (Mr Lawry)

a) Distinguish between an industrial and resource market. (2)

Criteria	Marks
Makes a clear distinction between an industrial and resource market	2
Sketches in general terms EITHER industrial OR resource market	1

Sample Answer: The resource market consists of those individuals or groups that are engaged in all forms of primary production, including mining, agriculture, forestry and fishing. In contrast, the industrial market includes industries and businesses that purchase products to use in the production of other products or in their daily operations.

(a) Distinguish between an industrial and resource market. 2/2

An industrial market consists of industries and businesses that purchase products to be used in the production of other products or in daily operations. For example a flour producer purchases wheat to produce flour and a bakery in the industrial market. However, the resource market consists of businesses and individuals involved in all forms of primary production including: forestry, mining, agriculture and fishing. An example of a business in the resource market is a mining business.

(b) Explain how a business would conduct a situational analysis as part of the marketing process. 4/4

b) Explain how a business would conduct a situational analysis as part of the marketing process. (4)

Criteria	Marks
Clearly shows the relationship OR effect of the situational analysis as part of the marketing process	4
Shows the effect OR relationship evident of a situational analysis as part of the marketing process.	3
Sketches in general terms of how a business would conduct a situational analysis as part of the marketing process.	2
Reference to how a business would conduct a situational analysis as part of the marketing process.	1

Sample answer:

The situational analysis is comprised of a SWOT analysis and Product Life cycle. A SWOT analysis considers the internal strengths and weaknesses of a business as well as its external opportunities and threats. The product life cycle consists of the stages a product passes through, namely introduction, growth, maturity and decline. By undertaking a situational analysis it ensures that management has a precise understanding of the business's current position and a clear picture of where it is heading.

- (b) Explain how a business would conduct a situational analysis as part of the marketing ^{activity} process. 4 marks

A situational analysis refers to a set of processes and activities that allow a business to determine its current marketing position and is the first step in the marketing process. A business may perform a situational analysis through using a SWOT analysis or a Product Life Cycle (PLC) analysis. Firstly, a SWOT (Strengths, Weaknesses, Opportunities and Threats) analysis refers to a method of determining a business's internal strengths and weaknesses and external opportunities and threats. This assists the business in determining its current position both in its internal and external business environment, assisting in the creation of its marketing plan. Secondly, a Product Life Cycle analysis refers to determining which stage of the product is in: introduction, growth, maturity or decline. This assists the business in determining which type of marketing strategies including product, price, promotion and place it will implement. It also assists

Question 24 continues over the page

- 15 -

the business in creating its marketing plan through its marketing process.

- c) With reference to a business you have studied, explain how consumer laws could influence the marketing of a business' products. (5)

Criteria	Marks
Clearly shows the relationship OR effect of consumer laws and how they could influence the marketing of a business' products, with reference to an example	5
Shows the relationship OR effect of consumer laws and how they could influence the marketing of a business' products, with reference to an example	4
Sketches in general terms how consumer laws could influence the marketing of a business' products with reference to an example	3
Sketches in general terms how consumer laws could influence the marketing of a business' products with no example	2
Makes reference to consumer laws	1

Answer could include:

- deceptive and misleading advertising
- price discrimination
- implied conditions
- warranties

Sample answer:

Consumer Laws exist to improve the protection and rights of consumers, and to clarify the rights and responsibilities of businesses. Deceptive and misleading advertising is one such law and it relates to ensuring that advertisements do not use words that are deceptive or claim that a product has some specific quality when it does not. Such actions may convey a false impression of the exact nature of the product. The impact on a firm could be a fine of up to \$10m. Nurofen is an example of a business that has breached Australian Consumer Law by falsely claiming that multiple pain relief medication was different when in actual fact they were all chemically identical. They received a financial penalty of \$6 million.

(c) With reference to a business you have studied, explain how consumer laws could influence the marketing of a business' products.

5

Consumer ^{laws} refer to the influence of a system of rules/laws designed to protect the rights of consumers within markets. Consumer laws are enforced by the Australian Competition and Consumer Commission (ACCC) under the Competition and Consumer Act 2010 (CCA). Consumer laws have had a significant impact on the marketing of Nurofen's products. Nurofen is a market leader in the pharmaceuticals market providing pain relief and medicinal products both domestically and internationally. In 2014, Nurofen's release of their "pain range" series was influenced by consumer laws as they were fined by the ACCC \$24.9 million for participating in deceptive and misleading advertising. Specifically, Nurofen released products with different names such as "back pain" and "period pain" targeting their all contained the same active ingredient. The products at the time were being sold at different prices which was determined to be deceptive and misleading to consumers who purchased their products. As a result, the marketing of Nurofen's products ^{was amended and has since been changed to} align with consumer laws to avoid any further penalties, thus impacting the marketing of Nurofen's products.



Trial HSC Question 25 Examiners Report

Cohort Average: 14.7

General Comments:

- Most responses were able to identify the correct areas from the syllabus to answer the question.
- Too many responses only 'outlined' in each section. For example, students were able to identify methods of payment, but only gave a brief description of why/how it would benefit Professional IT.
- Reference to the stimulus business (Professional IT) was generally very superficial, just a passing reference to the business without much thought about what they produce/ how it would be produced and distributed/ who their customers and competitors are etc.
- Stronger responses gave in depth references to the stimulus material and drew out stimulus specific examples.
- Too many responses had either no headings/sub-headings or poorly chosen headings. The heading needs to be a title for the whole section. Some appropriate main headings for this report would be; "Methods of International Payment", "Supply-chain Management" and "Cash flow Management". In these 3 main sections you should have appropriate sub-headings.

Executive summary:

- Generally, these are well done. Some students are still not writing the answer (main points only) to each section under the "this report will..." section

Methods of international payment:

- Most students could identify one of: Payment in advance, Letter of credit, Bill of exchange. However, the description of the payment method was superficial. Most could say why 'payment in advance' was less risk – but better responses also looked at the impact of this on Professional IT's liquidity or how customers would be affected.
- Some students suggested 'Clean payment' either because they didn't read the Q carefully, or they mixed up the term with 'payment in advance'
- Bill of exchange and letter of credit are also possible answers but responses needed to justify in their description and acknowledge the cost of using a third party.

Supply Chain management:

- Only some students were able to correctly identify; **logistics**, **e-commerce** and **global sourcing**. Top band responses did all 3 in detail and related to Professional IT in a deep and meaningful way.
- It is important to know your syllabus thoroughly for this section so that you are writing on the correct topic area, students were writing about all sorts of things (many only vaguely relevant) in this section.
- The use of sub-headings in this section was particularly important for Report structure.



Cash flow management:

- Again, most students were able to identify an appropriate cash flow strategy (distribution of payments, Discounts for early payment or factoring), but many only gave superficial links to professional IT.
- Weaker responses gave profitability management strategies such as cost/expense control.
- Top band responses linked the importance of cash flow to Professional IT's expansion plans and even linked section 1 (payment method) to cash flow. They also showed link between cash flow and profit and growth.

Summary or recommendations/Conclusion:

- Most responses included a conclusion, although some of the weaker ones didn't.
- Better conclusions or "summary of recommendations" gave specific recommendations to Professional IT.
- The use of dot points for your recommendations in this section is a good idea.

Marking Criteria – Business Report Question 25 (McClelland)

Criteria	Mark
• Provides detailed characteristics and features of ONE method of international payment suitable for Professional IT Ltd to decrease its exportation risks • Provides detailed reasons showing why and/or how the business could best manage its supply chain • Makes a well-reasoned judgement based on criteria regarding how ONE cash flow management strategy could be used to manage its cash flow issues • Presents a sustained, logical and cohesive business report integrating relevant business terminology and concepts • Makes effective use of the information provided, demonstrating extensive knowledge and understanding relevant to the question and hypothetical situation	17 - 20
• Provides characteristics and features of ONE method of international payment suitable for Professional IT Ltd to decrease its exportation risks • Provide reasons showing why and/or how the business could best manage its supply chain • Makes some judgement regarding how ONE cash flow management strategy could be used to manage its cash flow issues • Presents a logical and cohesive business report and uses relevant business terminology and concepts • Makes some use of the information provided, demonstrating knowledge and understanding of the question and hypothetical situation	13 – 16
• Provides some characteristics and features of ONE method of international payment • Provides characteristics and features of the supply chain • Provides characteristics and features of ONE cash flow management strategy • Includes some features of a business report and uses some business terminology and concepts • Demonstrates some understanding relevant to the question and may or may not apply the hypothetical situation	9 – 12
• Sketches in general terms ONE method of international payment • Sketches in general terms the supply chain • Sketches in general terms ONE cash flow management strategy • May include some features of a business report and uses basic business terminology	5 – 8
• May refer to ONE method of international payment and/or the supply chain AND/OR ONE cash flow management strategy • Uses basic terminology	1 - 4

Answers could include: *Methods of international payment – payment in advance, letter of credit, bill of exchange; supply chain management – logistics, e-commerce, global sourcing; cash flow management – cash flow statements – distribution of payments, discounts for early payment, factoring*

Marker's Comments:

To: Professional IT Ltd

Mkt report for issues regarding
Re: International payment, supply chain, cash flow management

From: Marketing Consult Ltd 2020 ✓

Executive Summary:

Professional IT Ltd is a company that sells technologically advanced mobile phones to the premium market. It has experienced rapid growth & success as it has gained 5% increase in market share. Currently, the company is facing several issues. Accordingly, this report will:

- ① Describe payment in advance ✓ as an international payment suitable for company to decrease its exportation risks.
- ② Explain how the company can best manage its supply chain in terms of e-commerce, logistics, global sourcing. ✓
- ③ Evaluate the use of distribution of payment as a cash flow management strategy for the company to manage its cash flow issues. ✓

1. Methods of International Payment - Payment in advance

There are many methods of international payments that a company can use when they operate on a global scale as they experience a wider range of risk as both importing & exporting may present challenges for importers & exporters. Examples of methods of international payment include clean payment, payment in advance, bills of exchange and letter of credit.

For Professional IT Ltd to decrease its exportation risks when selling its technologically advanced mobile phone devices, it is recommended that the company uses payment in advance. This method demands the importer to pay for the goods and services supplied for Professional IT Ltd before the company ships its goods to them. This can successfully decrease the exportation risk for Professional IT Ltd as they can be assured that they receive the money for the goods & services before exporting, with guarantee, assurance & confidence that the importer will not be able to delay their payment or even not paying at all. This method not only is crucial in decreasing exportation risk, but also crucial in managing the cash flow of the company as if the debtors / importers do not pay for the goods, this may pose

additional financial burden on the company as they have to chase up after the importer. This process may be costly, and more often than not unsuccessful, resulting in a negative cash flow & limited working capital for the company. This means it is harder & more difficult for the company to sustain its day to day operation & face further financial penalties as it could not repay crucial expenses / debt, which will jeopardize the company's long term survival over other competitors as its competitive advantage is diminished over the loss of cash flow. ✓

2. Supply chain - logistics, e-commerce & global sourcing.

Professional IT Ltd should be aware of the various supply chain management as it is planning to expand its sales of its technologically advanced mobile phones into New Zealand and the USA. These two markets are foreign and may present challenges for the company due to cultural differences (language barriers) & different legal regulation, therefore by successfully manipulating its supply chain management, the company can mitigate the risk of introducing new mobile phones to a new target market. It can effectively prevent the

failure of the (B) and allow the (B) to capture a greater market share in overseas market. This means the financial objective of growth can be achieved. Supply chain management is the management of the inputs, transformation process and the outputs to ensure the best quality mobile phones can be delivered to the hands of the customers. This in turn will lead to customers' satisfaction & repeated purchases. When coupled with the word of mouth promotion element, this can successfully improve revenue through sales, allowing the achievement of profit maximization. For example, Professional IT Ltd can have / negotiate a better deal with its current domestic suppliers to ensure the delivery / lead / wait time between the time used to produce & time before the final finished goods is minimized. This can also apply to global sourcing, as Professional IT Ltd can source the best inputs it needs for the production of mobile phones without the constraint of locations. This can effectively lead to a reduction in cost & improvement in quality of goods. A wide variety of goods (such as computers / iPads) can also be produced using leading-edge technology that allows Professional

IT Ltd to tap into new markets and generate higher revenue with a better global sourcing process. In addition, the successful implementation, monitoring & controlling of the logistics aspect of the supply chain management is important as the mobile phones must be stored in a relatively safe & secure place before it is shipped, advertised, promoted & delivered to the hands of the customers. If the mobile phones are broken, this may mean that they are not fit for quality and not of merchantable quality. This will ultimately result in lost sales, deteriorated reputation as the ③ loses its customers to other rival competitors such as Apple. This in the long term may lead to a reverse in current market situation, as the lost market share may mean Professional IT Ltd may not be market leader, thus hindering the achievement of long term growth. In order to mitigate this risk, Professional IT Ltd can use warehousing to properly store the product. However, this may be costly as it involves heavy maintenance, handling, insurance, storage cost. As such, the senior managers at Professional IT Ltd must consider & come up with a more cost effective

way of storing the inputs of the mobile phones & the final output (mobile phones & its subsequent warranties that come along with it). This may require management to balance the economic benefit derived from the increase in sales and market share with that of the cost of handling, running & maintaining the warehouse. If this step was not implemented correctly, the final transformative outputs will be one that is defective & dysfunctional. This will lead to immense pressure & crisis that come along with the bad reputation that the @ has to suffer with an initial, non-thorough plan to effectively manage its supply chain. Also, the use of e-commerce as part of the supply chain management is important as technological advances means more global sourcing in the input process of operations & the subsequent advertising & promotional process in the marketing department is done online. To meet the strategic role of operations such as cost leadership & goods-and services differentiation, Professional IT Ltd must effectively create an online customer database and website to engage its customer and to

inform them of the production operation process. If Professional II Ltd cannot keep up with the ever changing business environments that is accompanied by the improvement in technology, the ③ will suffer as the competitive advantage of sourcing the best inputs will be lost. ✓ As such the product (mobile phones) that is created will not have the differentiation features in it that creates a positive & unique perception (competitive positioning) in that of the mind of the customers. Therefore, the ③ must continually make good use of e-commerce & keep up with the technological changes. Through scanning & learning, the ③ can create cost advantages through its e-commerce, allowing them to gain an increase in sales & revenue.

3. Cash flow management strategy.

There are many cash flow management strategies that a ③ could use to effectively manage in its cash flow that results in positive liquidity & the proper sustainability of the day to day functioning of the ③. Examples of cash flow management strategies include the use of factoring, distribution of

payments, cash flow statements. During Professional IT Ltd's projected expansion, there is no doubt there will need to be huge, large amount of finance that must be sourced & financed to supporting the restructuring of the companies. This may include processes such as purchase of inventories / stock through the use of overdraft, commercial bill & factoring & also the use of mortgages, debentures, leasing and unsecured notes to fund the purchase of properties & assets such as equipment & furnitures. During the process, this will mean that the company may be spending too much money (cash outflow) on upgrading its facilities to facilitate its expansion. However, ③ may also only have a limited revenue despite an increase in customer base & market threshold. This means their cash inflow from different sources may be limited. Thus, coupled with the large expenses that ③ incur will create cash shortages which will not be favorable as the ④ do not have cash to sustain its domestic, local office daily operation & to repay their upcoming debt / interest repayment. If a cash flow management is not used effectively, this may mean a jeopardize & compromise

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in short term liquidity and solvency, but also potential bankruptcy and liquidation that follows when a ③ fails to sustain its operation. This means the ④ will not be able to maintain its current financial success & thus represents a failure in its operations. Distribution of payments can be an effective cash flow management strategy to be employed as it refers to the spreading of expenses so large expenses do not occur in one month. This may involve examples for Professional IT Ltd to spread expenses such as dividends to its investors in different months & a careful & thorough planning & examination of where to allocate its other large expenses such as interest / debtors repayment. Through this, Professional IT Ltd can effectively reduce the risk of cash shortage and may even result in potential increase in cash flow. The maintenance of a positive liquidity allows the ③ to manage & mitigate its risk of its expansion plan & prevent a collapse / decrease in market share, which can only be done by recognizing the importance of distribution of payments as cash flow management strategy as aforementioned.

Summary of recommendations

Currently, Professional IT Ltd faces many imminent problems concerning issues of methods of international payments, supply chain management, cash flow management. Should the ③ consider the aforementioned strategies, and successfully implement them, this will result in an increase in profit, revenue, sales & market share. Accordingly, this ③ recommends that.

1. Describe payment in advance as method of international payment suitable to decrease the company's exportation risk.
2. The @ could better manage its supply chain by carefully planning & using logistics, ecommerce & global sourcing.
3. Evaluate the use of distribution of payments as a cash flow strategy that Professional IT Ltd could use to manage its cash flow issue.



Year 12 Business Studies Question 26 Extended Response Trial

Examiner's Report

Cohort Average: 12 / 20

General Comments

- The question was framed with the directive verb of 'explain' - this requires candidates to show **cause and effect**. Many responses were quite descriptive in nature (providing characteristics and features). Candidates with stronger responses effectively shaped their responses around the directive verb by showing **HOW rewards and workplace resolution strategies can be used to manage both maintenance and separation**.
- A number of students did not mention a case study at all. The extended response is the "Case Study" essay. It requires a clear link to a case study or case studies.
- Many responses were very heavily geared to writing about their case study (Qantas). The extended response essay requires a balance of theory and case study material.
- Students should look to cover the applicable syllabus points (theory) by defining them first and then providing characteristics and features of each. Then link the theory to your case study by giving specific examples of how your case study (Qantas) applies the theory in their business.
- Students need to ensure that specific case study examples are covered in their writing. Merely stating that Qantas offers rewards and implements resolution strategies is not sufficient. Provide evidence (statistics where possible) with clear links to the theory.
- Many students failed to show the **LINK** between the 2 strategies (rewards and resolution strategies) and the processes of maintenance and separation.
- Most responses were very well-structured, clear, logical, cohesive and easy to follow.
- Integration of appropriate HR terminology and concepts was generally strong in most responses with minimal use of colloquial language.

Introductions

- Generally, most candidates provided very comprehensive and detailed introductions (which created a positive impression for the marker).
- Most candidates included a definition of HR management and provided a comprehensive overview of the Qantas case study.
- A number of students did not identify the relevant syllabus areas that they will address throughout their response in the introduction: rewards: monetary and non-monetary, individual or group, performance pay; resolution strategies: negotiation, mediation, grievance procedures involvement of courts and tribunal). – Planning your ER essay on the first page of your writing booklet will help with this!
- Stronger responses linked their generic case study sentence to the question- Human Resource Management.



Rewards

- *Most candidates provided pleasing definitions and characteristics of rewards and the different types of rewards from the syllabus.*
- *Stronger responses included all the relevant types of rewards from the syllabus: monetary and non-monetary, individual or group, performance pay.*
- *Weaker responses either listed or only defined rewards.*
- *Stronger responses linked the theory to a case study and provided detailed examples and/or statistics.*
- *Stronger responses clearly explained HOW different types of rewards could be used to manage both maintenance and separation.*

Workplace Dispute resolution strategies

- *Most candidates provided a definition and description of the different types of resolution strategies from the syllabus.*
- *Weaker responses only covered some of them or merely outlined them.*
- *It is not enough to describe the resolution strategies but you had to explain HOW each of the strategies are used by a case study to manage the processes of maintenance and separation.*
- *Stronger responses linked the theory of resolution strategies to a case study and provided detailed examples and/or statistics.*

Maintenance and separation

- *Stronger responses clearly defined and described the processes of maintenance and separation and then showed how they would be managed through the use of rewards and dispute resolution strategies.*
- *Most students did not show a clear link between the 2 strategies and 2 processes.*

SECTION IV Question 26 (Dobes)

Explain how rewards and workplace dispute resolution strategies can be used to manage the human resource processes of maintenance and separation.

Criteria	
• Makes clearly evident the relationship between rewards and work place dispute resolution strategies and the human resource processes of maintenance and separation. • Applies relevant case study/studies and contemporary business issues • Presents a sustained, logical and cohesive response and communicates clearly using relevant business terminology and concepts	17-20
• Makes evident the relationship between rewards and work place dispute resolution strategies and the human resource processes of maintenance and separation. • Uses relevant case study/studies and contemporary business issues • Presents a logical and cohesive response using relevant terminology and concepts	13-16
• Gives characteristics and features of rewards, workplace dispute resolution strategies, and the human resource processes of maintenance and separation. • Makes reference to case study/studies and contemporary business issues • Communicates using business terminology and concepts	9-12
• Sketches in general terms rewards, workplace dispute resolution strategies, maintenance and separation. • May make reference to case study/studies and/or contemporary business issues • Communicates using some business terminology and concepts	5-8
• Makes limited reference to rewards, workplace dispute resolution strategies, maintenance and separation. • May identify case study/studies • Uses basic business terminology	1-4

Answers could include: rewards – monetary and non-monetary, individual or group, performance pay

workplace disputes – resolution – negotiation, mediation, grievance procedures, involvement of courts and tribunals

maintenance – is the process of managing the needs of staff for health and safety, industrial relations and legal responsibilities, including compensation and benefits, of all staff. It includes: monetary and non-monetary benefits and processes to address grievances and underperformance and misconduct

separation – is when an employee leaves the business. It includes: Voluntary and involuntary separation. Redundancy and dismissal can pose serious issues for employers and using workplace dispute resolution strategies and paying the correct redundancy packages can help avoid any disputes.

Marker's Comments:

Human resource management refers to the total management of relationships & well being between employees & employers. The crucial use of rewards, both monetary & non-monetary rewards & the successful manipulation of the workplace dispute resolution strategies amidst that conflicts that arise in workforce, such as the use of a negotiated outcome, a mediated outcome, an arbitration outcome & the involvement of courts & tribunals are crucial & can effectively be used to manage the human resources processes of maintenance and separation. Qantas is a well-known iconic Australian airline that operates both domestically & internationally. As a result of the strict government regulations (travel restrictions) that governments around the globe have put into place in response to the current pandemic of COVID-19, there is a drop in customer demand of 60% in domestic flights and a full suspension of all international flights. As a case study, Qantas demonstrates how they have / continued to use effective rewards & workplace dispute resolution strategies to effectively manage the human resource process of maintenance & separation.

1- Rewards in the HR process of maintenance. & Maintenance as a part of the HR process refers to the management of the needs of its staff: their health and safety, industrial relation issues & the compensation & benefits to be given to its staff. In order to facilitate & make this process more effective and retain, motivate, and attract staffs, different companies have been using both monetary & non-monetary rewards across the board to better motivate their employments. This effectively reduces workers' absenteeism & conflict & turnover and can in turn encourage staff to be more productive, which benefits the companies at last as they produce greater outputs since they feel they are valued are cared for adequately for their emotional, social, physical, and psychological well being that many educated employees consider as the most important factor for them to increase their work morale.

Qantas has used monetary rewards such as \$1250 travel bonuses to its staffs & \$20-25m dollars invested in non-executive staffs to

keep them motivated. Moreover, as a result of the record profit for Qantas in 2016, as a result of its \$641 M turnover, Qantas' CEO Alan Joyce received an additional \$24 M bonus pay. Also the use of performance pay in the company, which measures & calculates an individual's wage / income directly based on their work performance have been widely used in Qantas process of maintenance. In addition, gain sharing plans such as employee ownership plans allows & encourages team work / build a positive group work culture that allows greater efficiency & productivity. The combined use of monetary & non-monetary rewards, with examples such as increase in wage & income / provision of superannuation & insurance as dictated by law / provision of challenging works that captures the interest of the worker / allowing job recognition through the use of performance appraisal successfully allows the Qantas to retain excellent staff that are of high quality, evident in its global brand name reputation of being regarded as a company that genuinely cares for and work offer the best interest of the

employee. Qantas' use of rewards is not only applicable in the HR process of maintenance, but also in the process of separation. The use of rewards allows more focused staffs to be retained thus reducing the days that employees are not sick but choose to work from home (absenteeism). This also reduce conflicts & disputes, that will evidently lead to separation. Since Qantas has put into place a well-designed, equitable, easy to communicate & fair & transparent rewards system, this reduce the need for involuntary separation. This in turn benefits the companies as it ^{not only} has reduced legal obligation & financial burden of terminating a contract with that of an employee, but also reduce the cost & need for replacing a new staff that requires training & development, which is often a long, tedious, costly process which involves Induction, training & development & performance appraisal.

2- Workplace dispute resolution strategies

Conflicts & tensions often arise from the basis of ineffective communication of company's objectives, policies, & procedures to employees. Examples of conflicts

include dispute over wage and working conditions which can conflict as the employees, who are represented by the unions can react angrily & start an industrial campaign which can add to the legal & financial cost of the company if the process of negotiation, mediation & arbitration is not successful. In that case, when it involves the courts & tribunals, this may be a costly process. Also if employees / unions have decided to start a strike, this can mean a lost in production in the operation process which leads to lost sales. As such effective workplace dispute resolution strategies is important to avoid the escalation of matters which will collectively lead to decrease in satisfaction in employee, further affecting the process of separation as the employees may turn to another company & bad-mouth their previous companies, as they did not act in the best interest of their employees, and collectively make an effort to ensure fair & equitable dispute resolution strategies are put into place.

Qantas has had a long history of dealing with conflicts

between its long-haul pilots & engineers over the course of the past few years. Conflicts arise as the long-haul pilots & engineers are demanding for job security & refuse to have their job outsourced as this will mean a loss in jobs for them so they cannot effectively provide for their families. They also feel like they need / deserve an increase in wage & their incomes have been stagnant for the past years amidst the company's success. Initially, the negotiation system was put into place where both parties formally / informally discuss this issue in order to reach a compromise & agreement. However, this process is costly, long & ineffective. With the dispute unsettled, as Qantas CEO Alan Joyce refuse to increase their wage & threatened to ground their fleets, this matter quickly escalated into a mediation process, where both parties confidentially discuss in the presence of a non-threatening, neutral & objective third party that hears the opinions & complaints of both sides. The Fair Work Australia has appointed a conciliation member that offers useful suggestion to effectively resolve this dispute. However, since this decision is non-binding, both parties are

still in great conflict. As such the process of involvement of courts & tribunals was employed where the court made a legally binding decision that prohibits the industrial action of the unions (APIA & ABAEA representing the pilots & the engineers respectively) of striking as it damages Qantas profit of more than \$20M a day, but more significantly impacting the \$275M economic loss that Australians suffer as a result of the economic loss in that aviation industry. Furthermore a decision was made so that the wage of the pilots have been increased by 4.5% and that of the engineers have been improved by 3%. Amidst this, there were still some job losses for both engineers and pilots as some were made redundant & some involuntarily were dismissed & retrenched. Qantas' careful management of the process of separation allows a reduction in the unnecessary legal cost that follows with a legal lawsuit claims that Qantas has unfairly & unjustly dismissed its employees. This prevents a deterioration in Qantas' reputation, but represents a significant long term cost for them as the two groups successfully

demanded an increase of 3% at the start of 2013, and another 3% of remuneration package at the start of 2014. This means Qantas is in a financially more vulnerable position as there is greater cash outflow, despite an increase in customer base resulted in Qantas' record turnover profit of \$641M in 2016. The use of workplace dispute resolution is also evident in Qantas' management of the process of maintenance as it has put into place a systematic, fair & just system to in the first place prevent anti-discrimination & protects the workers by providing compensation to workers. Whenever there are claims that discrimination on the grounds of basis of age, sex, gender, education, political views, sexual orientation occurs, Qantas' swift response using workplace dispute resolution such as industrial workplace grievance procedures allows the opinions of both parties to be heard & effectively dealt with. This means Qantas' staff can be assured of a provision & entitlement of a safe, harmonious workplace environment & culture that prevents one from being harassed & can be protected / insured against all types of

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workplace injuries (ie they are covered on all grounds).

As a case study, Oantao demonstrates the successful use of rewards & workplace disputes resolution strategies can be used to manage the human resources process of maintenance & separation. This will ultimately lead to human resource management success as the relationship between employer & employee is maintained & strengthened.